

PARSONS CORP PSN

August 02, 2026 - 10:26pm EST

by

DLDT

2026 2027

Price:	44.21	EPS	0	0
Shares Out. (in M):	108	P/E	0	0
Market Cap (in \$M):	4,721	P/FCF	0	0
Net Debt (in \$M):	1,208	EBIT	0	0
TEV (in \$M):	5,969	TEV/EBIT	0	0

Description

Background

Parsons (PSN) is a ~\$6.4B revenue business providing solutions to support security and global infrastructure with top line split roughly 50/50 between its two segments: Federal Solutions (defense & intelligence systems, cyber, missile defense, and space) and Critical Infrastructure (transportation, water, environmental, planning/engineering, with a large Middle East footprint). Parsons provides services such as program management for King Salman Airport in Saudi Arabia, systems engineering for the MDA (Missile Defense Agency), and Joint Cyber Hunt Kit hardware/software for US Cyber Command.

I see around 50% upside with optionality for more in a quality business. PSN is on sale after an overreaction to its latest earnings report where shares fell 35% on a 4% cut to go-fwd EBITDA. Importantly, I see minimal downside from these levels.

PSN is not a bad business. For the 5 years ended 2025, PSN's Revenue / EBITDA CAGR was 10.2% / 12.4% outperforming peers via organic growth as well as accretive M&A. The share price after last week is essentially flat over this time frame and today PSN trades at all-time lows on every valuation metric. PSN has a crown jewel business with a strong moat in the middle east having operated there for 50+ years and in North America benefits from attractive secular end market growth.

PSN end markets forecasted 3-year CAGRs:

1. Cyber: 9-11% CAGR (~20% of Revenue)
2. Space & Missile Defense: 8-9% CAGR (~10% of Revenue)
3. Transportation: 6-8% CAGR (~25-30% of Revenue)
4. Environmental: 7-9% CAGR (~10-15% of Revenue)
5. Urban Development: 5-7% CAGR (~10-15% of Revenue)
6. Critical Infrastructure Protection: 4-6% CAGR (~10-15% of Revenue)

PSN has multiple options to improve upon sector growth rates via rebuilds after conflicts, energy security, ammunitions restocking, nuclear, Golden Dome, FAA, etc. They have consistently strong win rates with the last 3 years being 60%+ and have proven their ability to expand EBITDA margins. Their acquisitions are all non-banked and generally sourced through prior work experience with the target.

Situation

On Wednesday of last week, the shares fell ~35% to \$40, at one point reaching ~\$36, a new 52-week low. Nearly \$2.5B of equity value was erased based on \$118M of "one-time" charges to EBITDA. Stripping out the charges, 2026 EBITDA guidance actually went *up* \$3M despite ~\$300M of *lower* revenues. Outside of the charges, business is doing well: book to bill was 1.2x in the quarter, YTD is 1.3x, and bookings were up 24% YoY supporting go forward growth.

I believe this drawdown was equally indicative of the "final straw" for many investors, signifying a lack of trust in the management team given the now three large missteps in the last 2 years. While I emphathize with this view, I believe that these events are largely unrelated and not necessarily the fault of the management team, though they have to take blame for the messaging.

- The first event was in early 2025 regarding the loss of a confidential contract (relocating folks who worked with the US in Afghanistan) which was larger and higher margin than what they had indicated to the street.
- The 2nd was in December of last yr when a potential gamechanger FAA contract (which was talked about by management as if it were a done deal) was pulled from them at the last second by the president himself.
- The last straw for folks was the guidance cut Wednesday described more below.

Again, this decline wasn't just the cut, management also sounded the most bullish of their peer group heading into the quarter and gave no indication this was a possibility. All 3 issues have reasonable explanations and although outsized are not all that uncommon in government services businesses. However, each time there was mismanagement of expectations with investors which makes this uninvestable for many.

As George W Bush stated, *"There's an old saying in Tennessee... I know it's in Texas, probably in Tennessee... that says, fool me once, shame on... shame on you.... Fool me... you can't get fooled again."* Despite these missteps, I actually think the CEO is quite talented, and I believe she and management have finally learned their lesson on being overly bullish and the bar has now been reset much lower.

Guidance Cut Detail

Below is the detail from pg 18 of their earnings presentation showing a \$300M revenue / \$118M EBITDA cut. On top of the cut for 2026, management said (in a VERY confusing way, which I am still making sure I fully understand) that the '27 revenue number will be "MSD or better" organic growth off of the *new* '26 sales figure. They will target a 9.8% EBITDA margin.

Despite management classifying this as a "one time" cut, it still implies a cut of over \$300M of revenue / \$30M EBITDA to '27, **which equated to a around a 4% negative revision of street EBITDA estimates**. I am not yet sure why the \$215mm needs to come out of the sales base for '27 (I am inclined to add some of it to the organic trajectory given its largely timing/protests).

My gut on why they implicitly cut '27 (by saying their MSD or better algorithm was intact based on revised '26 guidance) was to allow for additional cushion into next year to assure they are getting back to beating and raising. I believe this based on my past conversations with management and the sell-side, but perhaps more importantly, 4 insiders purchased stock in May of this year which I doubt they would do if '27 was seeing major headwinds.

Their recompetes are quite low for '27 (5% of revenues), so they should have a good barometer for the period. I speak with management soon and will update in the comments if any of my commentary needs to be adapted.

(\$ Million)	Prior Guidance Mid-Point	Divestitures and Charges	Protest, Timing and Favorable Margin Performance	Current Guidance Mid-Point
Federal Solutions Revenue	\$3,305	(\$85)	(\$90)	\$3,130
Critical Infrastructure Revenue	\$3,345		(\$125)	\$3,220
Total Revenue	\$6,650	(\$85)	(\$215)	\$6,350
Federal Solutions Adjusted EBITDA including noncontrolling interests	\$295	(\$77)	(\$8)	\$210
Critical Infrastructure Adjusted EBITDA including noncontrolling interests	\$350	(\$41)	\$11	\$320
Total Adjusted EBITDA including noncontrolling interests	\$645	(\$118)	\$4	\$530
Margin	9.7%			8.3%
Operating Cash Flow	\$500	(\$30)	(\$10)	\$460

FY2026 guidance bridge — prior guidance mid-point to current guidance mid-point (\$ in millions). Source: Parsons Q2 2026 earnings presentation.

During the quarter there were the following items:

- 1. Divestiture: ~\$19M pre-tax GAIN.** Not really relevant to the decline, though may have a slight impact to go-forward revenues. Parsons sold two contracts because holding them created a conflict of interest with development work at the same customer allowing for a 8-10x opportunity.
- 2. Two Remote Federal Programs: ~\$78M loss.** Work in a difficult geography where staffing and supply-chain deterioration (management referenced Strait of Hormuz) made the operating model untenable and negative margin. LOI is signed with a contract buyer closing next Q. PSN is actually paying the buyer to take the contract. Perhaps PSN believed this would improve post the end of the Iran War and when the War continued on, they threw in the towel.
- 3. JV Weather-related Charge: \$41M, equity method, Critical Infrastructure.** Highest rainfall in a century for the region (Canada), on a consortium project where Parsons is the non-managing partner. It is the seventh year of the program which will ~90% complete at year-end. This is supposed to be a conservative write-off of the charge for the rest of the contract, but in theory there is go-forward risk.

As mentioned above, revenue was guided down by \$300M, which had minimal effect on EBITDA during the period given the margin profile of the revenues. Of the \$300M, \$85M was the intentional divestiture in Federal. \$125M is CI, of which \$50-60M is zero-margin pass-through and the remainder is timing. Finally, \$90M in Federal with \$20M from a protest on a \$190M/5yr award and the remainder due to timing.

Estimates for next yr will end up at around \$6.7B of top line (midpt of new guide \$6.35B with a 6% growth rate) and ~\$660M of EBITDA (assuming a ~9.8% margin) which I believe they will beat regardless of hitting some of the upside optionality items I mentioned earlier.

Valuation

PSN now trades at just under 9x '27E EV/EBITDA and ~13x '27E P/E, all time lows. Management has guided (and historically outperformed) organic top line growth of "MSD or better" with 10-20 bps of EBITDA margin expansion per annum. My DCF with conservative assumptions gets me to >\$60 and with slightly aggressive assumptions gets me to ~\$80+. Multiple reversion also supports ~50% upside.

Summary

I believe the gap down in price is overstated relative to the business impact. There was likely price-insensitive selling with investors who viewed this as the last straw in a SMID name with limited ADV. Four insiders, including the CEO bought stock in May of this year in the low \$50s and past buying has had high signal. Management has learned their lesson, the bar is lowered, and the company is trading at all time low valuation levels. PSN is a quality business with great win rates, secular tailwinds and strong historical top line growth and margin expansion. They can beat and raise in 2027 given the new lower bar that every sell-sider is putting in their models. The buyback authorization is now a double digit percentage of the market cap with the CFO saying it will be prioritized given current share prices. At current levels, there is minimal downside and attractive upside in a defensive, growing business.



Risks

The biggest risk in government services businesses are (i) perceived AI threat, (ii) budget reallocation to peers, and (iii) peak defense/infrastructure budgetary concerns. The risks at PSN specifically are mainly (i) management credibility and execution, (ii) large missteps aren't one-offs and are indicative of business risk, and (iii) Middle East contract delays/changes.

Credibility. We have had confidential State Department contract cancellations, DOGE, FAA, and now a guidance cut with large charge-offs. Management walked folks right off the cliff in an unnecessary manner for the 3rd time.

Pushback: *Credibility repairs with time, good prints, and low expectations which I think we now have. The problem with government services type businesses is that they can be black boxes and these events are almost impossible to foresee. It is a judgment call based on what I know about these situations that I view these as blips rather than trends. PSN is showing continually strong book to bill - ultimately they have to keep winning business and seemingly that is still going well.*

Industry Risks: Industry risks include peak defense concerns, critical infrastructure funding, anti-consultant bias, some correlation to anti-AI trade given characterization of selling people/hours, and geographic risk.

Pushback: *I sympathize with the industry risks, and offset most of it through shorting peer companies. I had been net short this sector not too long ago. I believe there are businesses trading at similar levels to PSN at far greater risk of industry headwinds and similarly quality businesses trading at premiums. Broadly, I view the disruption risk of this industry as more than priced into the sector and actually like the sector here. Defense budgets have yet to go down ever in history, though I do see that as a long-term concern. I believe infrastructure spending will be strong with bipartisan support.*

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Catalyst

- **Reversion Trade:** Shares oversold for non-fundamental reasons, we have had a 10% bounce, but likely get more than that
- **Quarterly Earnings:** Reporting a normal quarter and restoring mgmt credibility and confidence in the growth algorithm
- **Buyback Execution:** Likely see a stepped up buyback during the quarter
- **Investor Day 2027:** The company announced an investor day for next year and likely will lay out their thesis for continued growth
- **Insider Purchases:** Wouldnt be surprised if we see more

Messages

No messages